

RS/6000 RDBMS Sales Training

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Agenda

- **Impact of Information Technology on Business**
- **Midrange Platform Technology & Leading Suppliers**
- **Decision Support: Mining Data for Information**
- **Opportunities for Open OLTP**
- **Introducing the RDBMS Players**
- **Partnering with an RDBMS Sales Rep**
- **Positioning the RDBMS Suppliers**
- **The RS/6000 with DB2/6000**

Summary

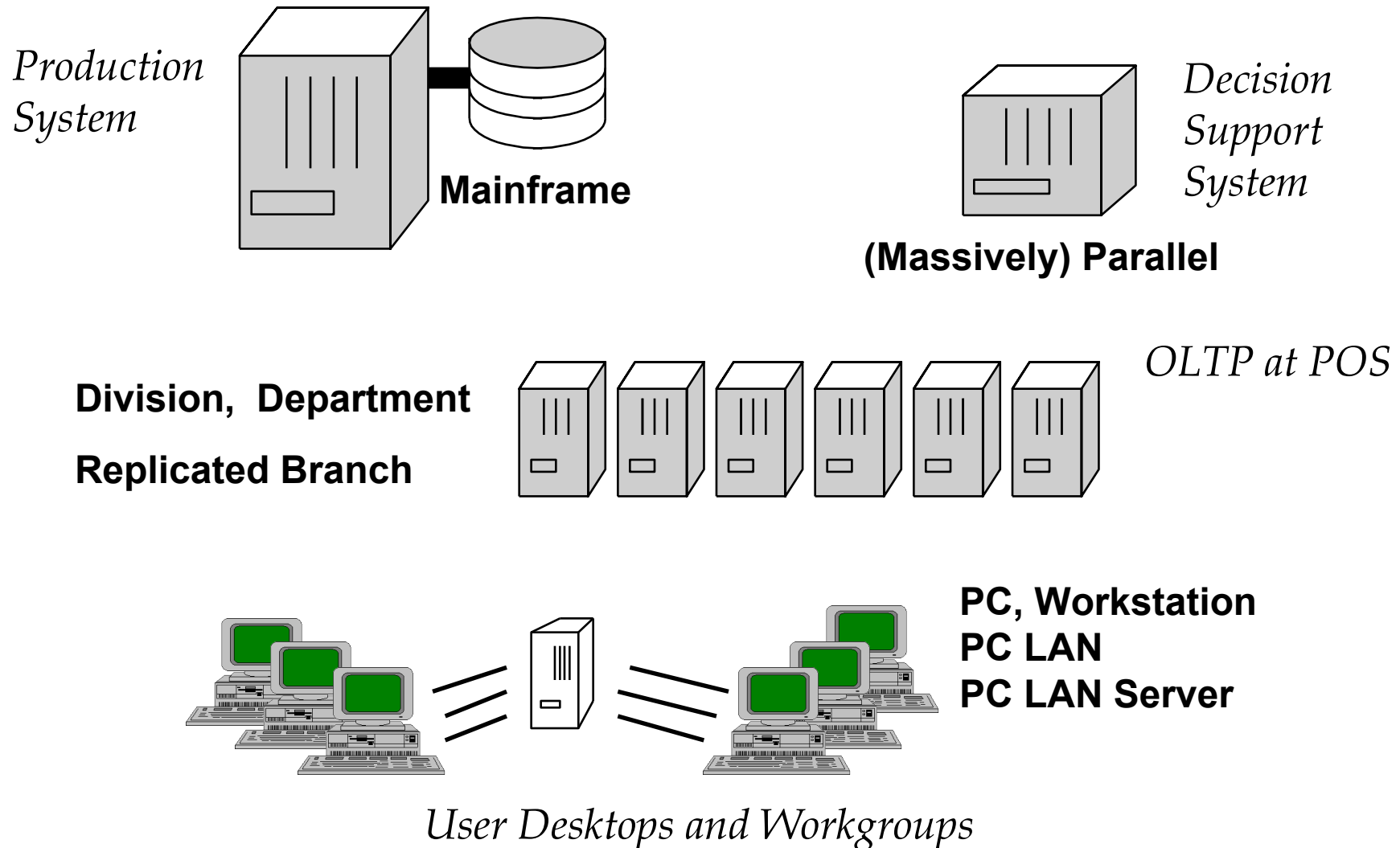
- **Business is continuously in a state of change**
- **Information technologies grow only when they solve real world business problems**
- **Many business executives have learned how to use IT for the benefit of their enterprises. Many have not and tend to blame their IS staffs**
- **The IS function within an enterprise is charged with evaluating new information technologies and implementing them as appropriate for the benefit of the entire enterprise**
 - **The technologies are changing too rapidly to keep abreast of all**
 - **Business goals and requirements are unclear and changing**

Top Mgt Issues For IT Executives

'95 Rank	'94 Rank	Issue
1	2	Aligning IT & corporate goals
2	4	Instituting cross-functional Information Sys
3	3	Organizing & utilizing data
4	1	Implementing business reengineering
5	9	Improving the IT human resource
6	NR	Enabling change and nimbleness
7	16	Connecting to customers or suppliers
8	5	Creating an information architecture
9	7	Updating obsolete systems
10	6	Improving the system development proces

Source: Computer Sciences Corp.

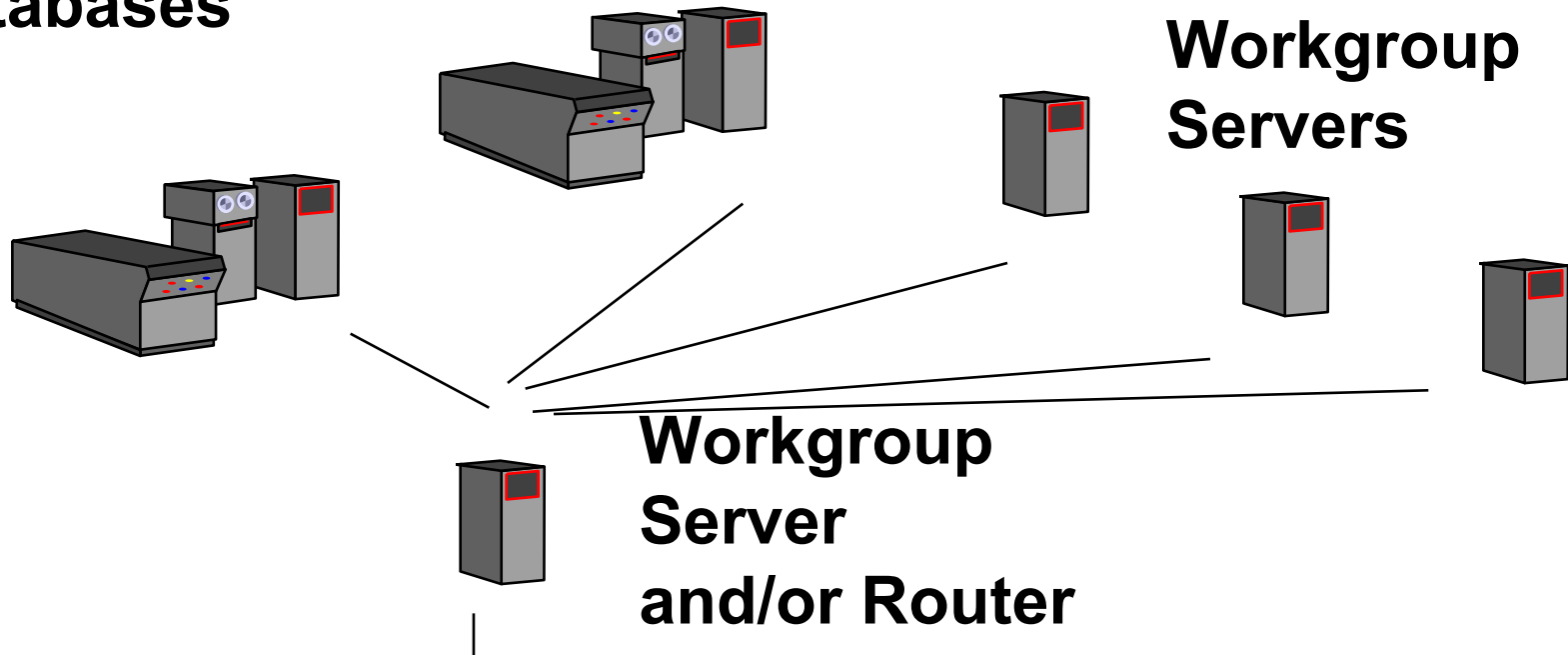
Aberdeen Three Tier Plus Model



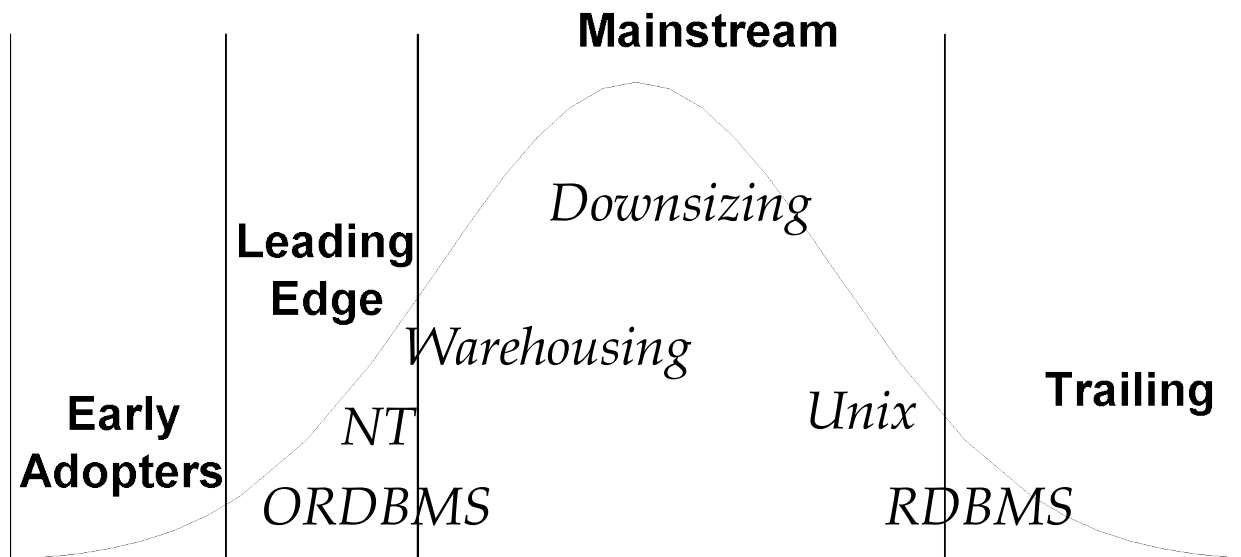
Increase Line Access to Data

**Enterprise
Databases**

**Departmental/
Other
Workgroup
Servers**



Adopting Technology



Examining the Midrange Leaders

- **IBM**
- **Hewlett-Packard**
- **Digital Equipment**
- **Sun Microsystems**
- **AT&T Global Information Systems**

1994 Worldwide Commercial Multiuser Risc/Unix Market \$10B

Millions

Source: Aberdeen Group, February, 1995

IBM Hardware Line-up

- **RS/6000 Servers**
 - **Second largest supplier of multiuser RISC/UNIX systems -- 19% market share**
 - **52% revenue increase '93/94**
 - **1994 revenues = \$2 billion**
 - **Product line is transitioning from uniprocessor, Power2 (RIOS) systems to SMP, PowerPC 601 servers**
 - **Following an IBM-first strategy, will frequently offer DB2/6000 RDBMS at considerable cost savings with platform**
 - **Value Proposition: IBM's professional services organizations will help our customers implement RISC/UNIX-based open, client-server computing with the RS/6000**

IBM Hardware Line-up

. SP2

- Up to 512 Power2 processors each running AIX 4.x for commercial and technical applications
- 1994 revenues = \$200 million
- 370 SP1 and 2 systems installed;
70 SP2s for commercial applications
- Positioned as high-end of RS/6000 line and DB/2 offload for ES/9000
- Major commercial applications: Complex Decision Support, LAN server consolidation, OLTP
- Has generated 380 ISV promises to port RDBMSs and applications
- Futures: SMP Nodes and RIOS2 upgrades
- Value Proposition: IBM's entry into very large scale, open systems computing. Hot new technology from IBM.

IBM Strengths

- **Size**
 - **Global support**
 - **Range of products**
 - **Talent pool to draw upon**
- **Customer base and sales reps' knowledge of customers**
 - **Shared history, Customer Trust**
 - **Former IBM employees working now as customers**
- **Services**
 - **Planning, Implementation, Operations, Outsourcing, Financing**
- **Third-party support and competition**
 - **ISVs by the 1,000's**
 - **PCM and peripheral suppliers**
 - **Professional service organizations (e.g., Andersen Consulting)**

IBM Challenges

- **Processor technology -- PowerPC 600 will not be leading the industry for many years**
- **Re-energizing and focusing the field organization**
- **Gaining the trust of leading-edge, business line manager, and X-generation buyers**
- **Learning how to work with ISVs as allies -- not enemies**
- **Recognizing that its chief competition for IS executive allegiance is not other hardware suppliers such as HP but software solution suppliers such as Oracle, SAP, and Microsoft**

Points-*You*-Should Know:

IBM RS/6000

- Customers buy RS/6000 for support and historical relationship reasons and have replaced it until lately because of lack of high-end growth path. Sell SMP scalability to SP2.
- Platform-of-choice for VARs whose customers cannot afford AS/400 but want IBM platform
- RDBMS ISVs fear that if they recommend RS/6000 IBM will still switch customer to low priced DB2/6000
- Expect growth to continue in 1995 as datacenter managers experiment with RS/6000 Tier-2 surround strategies
- RS/6000 with DB2 is neither the fastest nor least expensive option
- Whole story includes NetView, Data Propagator, DataHub

HP Hardware Line-up

Midrange:

- **HP 9000:**
 - **Multi-user RISC/UNIX industry leader -- 45% share**
 - **60% revenue growth rate last 3 quarters**
 - **1994 revenues = \$4.5 billion**
 - **Value Proposition: Leading platform for Unix applications in terms of technology and ISV application support**
- **HP 3000:**
 - **Legacy MPE/IX system updated with HP's PA-RISC technology. Same hardware as HP 9000 but with MPE/iX operating system**

HP Strengths

- **Trusted-supplier by IS decision makers for making the transition to high-performance UNIX systems**
- **Supports and is supported by ISVs and professional service organizations -- usually as a first among equals**
- **One of a handful of hardware suppliers that can support enterprises on a global basis**
- **Technology leadership perception**
 - **RISC processors**
 - **Complete Unix operating environment**
 - **OpenView systems management framework**
- **HP Professional Service Organization knows Unix operating environment capabilities thoroughly**

HP Challenges

- **Running as a lean and mean organization means business opportunities often slip by**
- **Making the transformation from selling hot boxes on price and price/ performance to being seen as an incumbent supplier that can add value in additional ways**
- **Current generation of PA-RISC, PA-7200, is not the fastest chip in the market**
- **Does not have a very high-end RISC/UNIX product offering (i.e. clusters & MPP) and is being squeezed by Intel/NT at the low end**
- **After 3 years as Top Gun, HP is getting arrogant, sloppy**

Points-*You*-Should Know: HP

- Is considered the mainframe alternative leader
- In new sales deals, HP's most common hardware competitors will be IBM and Sun
- HP's Computer Systems Organization (HP 3000/9000, Workstations, PSO) has a separate sales force from its Computer Products Organization (Vectras, LaserJets, NetManagers) resulting in sales confusion and annoyance for customers and prospects
- Is consistently ranked as one of the computer industry's most respected companies
- Should be respected but not feared. HP is not invincible.

Digital Hardware Line-up

Midrange:

- **Digital ALPHAserver XX00:**
 - **Multi-user RISC/UNIX 64 bit -- 3% market share**
 - **150% revenue growth rate 1994**
 - **1994 revenues = ~ 20% revenues or \$2.5 billion - with *all* add-ons**
 - **Value Proposition: Faster processors capable of managing vast amounts of memory and disk**
- **Digital VAX:**
 - **Legacy VMS system updated to OpenVMS**
 - **VAX revenues declining 35% to 50% per annum**
 - **1994 revenues = less than 10% of company revenues - with *all* add-ons**
 - **Value Proposition: Hold base while selling evolution and migration (if possible) to OpenVMS and ALPHA AXP**

Digital Strengths

- **Alpha performance combined with aggressive pricing has created the best price/performance in the industry.**
- **Digital's UNIX (OSF/1) meets the specifications of more standards setting groups than any other Unix operating system.**
- **Digital will deliver enterprise-class open platforms with Microsoft NT on Alpha. Note recent TPC-C benchmarks.**
- **Digital is creating software frameworks for enterprise-wide open computing to meet customer needs for applications interoperability from the desktop to datacenter.**

Digital Challenges

- **Digital is not yet out of the restructuring woods. As a result, customers and prospects remain concerned about:**
 - **who will sell to them**
 - **where support will come from**
 - **which support people will continue to be there**
 - **which promised products may be eliminated**
- **With the current neutral attitude of prospects to Digital's limited number of Alpha UNIX systems, Digital has yet to establish a critical mass for long-term viability.**
- **Alpha/NT looks like a rosy future, but lacks 1995 revenues to sustain the company**

Points-*You*-Should Know: Digital

- The company's diligence and resolve is regaining it respect from the industry and Wall Street. Prospects becoming more willing to entertain a Digital solution.
- Digital remains an excellent engineering company. Development of Large In-Memory Databases (LIMD) could revolutionize enterprise OLTP and complex DSS.
- Digital and Oracle have been increasing their strategic commitments
 - Oracle acquires RDB and installed base
 - Oracle is the LIMD database

Sun Hardware Line-up

Midrange:

- **SPARCcenter 2000 and SPARCserver 1000 :**
 - **Multi-user RISC/UNIX - 10% market share**
 - **Revenues = ~ 20% of Sun / \$1.1 Billion**
 - **SPARCcenter - 2 to 20 processors**
 - **SPARCserver - 2 to 8 processors**
 - **Challenging IBM for number 2 position with ISVs for application support**
 - **Value Proposition: The open systems, price leader for enterprises that want alternative high-risk, high-reward solutions**

Sun Strengths

- **Originator and still a leader in the open systems client-server computing marketplace. Customers and Prospects still may have Sun religion.**
- **Large number of software applications available - a pound-for-pound leader.**
- **Sun is regarded as an innovator in providing networked client/server solutions to the industry.**
- **Sun's positive working relationships with value-added resellers and third party distributors can mean lower acquisition and maintenance costs.**
- **Strong ISV relationships. Most ISVs use Sun workstations to develop their client/server products and applications.**

Sun Challenges

- **Sun direct field support is limited and is often contracted out to other firms.**
- **There are very few references for running SPARCcenter 2000s and SPARCserver 1000s for business critical production OLTP applications.**
- **Transitions between operating system releases has historically been problematic, compounded by minimal technical support from its corporate offices. Problems with Solaris in 1994.**
- **Real world scalability of applications appears to be very poor on all of Sun's workstations and servers.**
- **Loss of influence. Sun does not appear to be a major player in the new generation of standards setting groups. Many Sun products, such as its critical OpenLook GUI, may be excluded from future standards.**

Points-*You*-Should Know: Sun

- Large number of applications.
- Champion of the “common” customer.
- Strong alternate channel presence - will sell through any distributor.
- Sun’s commercial client/server strategy is making inroads via Networking and application development.
- Sun maintains both the lowest entry price and best price/performance point for commercial servers.

AT&T Global Information Solutions (i.e. NCR)

- **1994 total revenues of approx. \$4.2 Billion**
- **Revenues have been flat for several years -- with financial results running at break-even (1% profit for 1994)**
- **Continues to have financial backing of parent AT&T (1994 revenues = \$75 Billion) -- but could also be spun out or sold at any time**

AT&T Global Information Solutions (i.e. NCR)

- **Product strategy is to offer open systems based on desktop to massively parallel product lines -- Globalyst models from PC to departmental and Teradata for decision support**
- **All servers based on Unix and Intel 486/ Pentium microprocessor -- no RISC server**
- **Unix System V.4 MP OS with Reliability, Availability, Serviceability enhancements**
- **Low-end servers also run OS/2, SCO Unix, NetWare, and Windows NT**
- **Microchannel peripheral bus adapters migrates to PCI**
- **Full line of peripherals, including RAID storage**
- **High availability clustering with LifeKeeper**

AT&T GIS Strengths

- **Breadth of compatible server products is excellent**
- **Good, often leading, TPC price/performance**
- **The backing of AT&T**
- **Bullet-proof version of UNIX. Known for stability.**
- **The Intel multiprocessor market champion (vs. RISC) and leader -- \$1.2 Billion in 1994**
- **Market strength and broad solutions strength in retail and banking**
 - **Also Telecomm, Government, Transportation markets**

AT&T GIS Challenges

- While the leader in Intel/Unix servers, losing ground to leading RISC providers, not to mention Compaq
- Intel is depending on AT&T GIS to be premier supplier of P6-based servers for enterprise computing
- Organization seems to lack the fire required to gain market share
- Customer base is loyal due to product reliability and service orientation
- Failure to properly manage Teradata for big customers has resulted in unexpected backlash and opened up new opportunities for data warehousing/complex DSS.